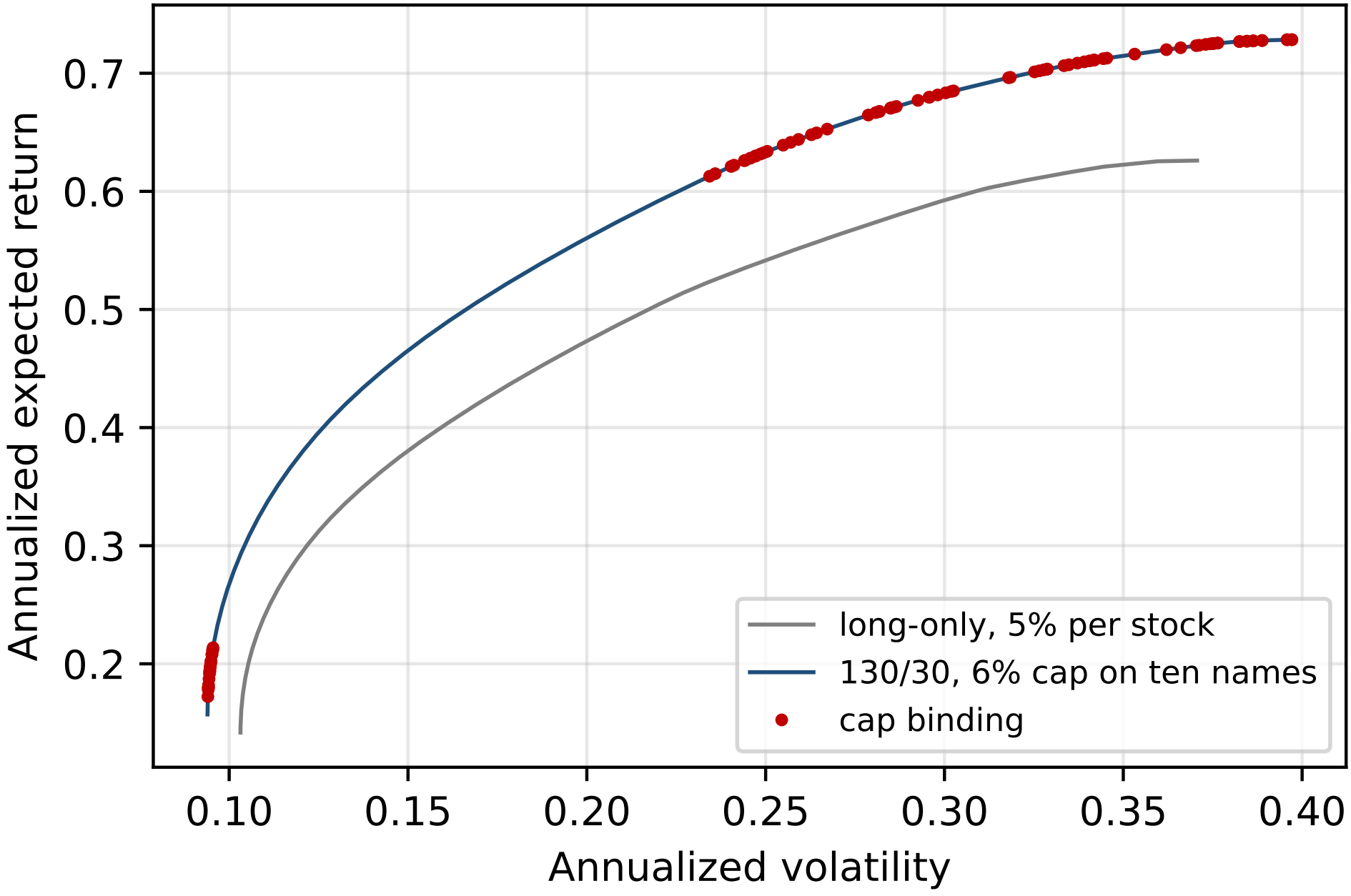
0.7
0.6
0.5
0.4
0.3
0.2
Annualized expected return
0.10
0.15
0.20
0.25
0.30
0.35
0.40
Annualized volatility
long-only, 5% per stock
130/30, 6% cap on ten names
cap binding